disbursement: Funds are released in tranches only after borrowers meet specific benchmarks. At the IMF, subsequent tranches are contingent on compliance unless a waiver is granted, while the World Bank's conditional lending arm operates on an all-or-nothing basis, requiring that all conditions be met before funds are disbursed (Clark and Dolan 2021).

Loan recipients frequently resist conditionality, citing both practical and ideological concerns. Critics argue that the IMF's "one-size-fits-all" approach often fails to deliver economic growth or stability over the medium term (Bulir and Moon 2004; Li, Sy, and McMurray 2015). Conditions can exacerbate inequality, unemployment, and economic contraction, eroding public trust and fueling political instability (Vreeland 2005; Handlin, Kaya, and Günaydin 2023).

The eurozone crisis provides a vivid illustration of conditionality's contentious nature. Strict austerity measures imposed by the IMF and EU, including tax hikes, pension cuts, and labor market reforms, provoked widespread backlash in Greece and Portugal. Populist parties, such as Syriza in Greece, capitalized on public discontent, achieving electoral success by opposing these reforms. Syriza even threatened to exit the eurozone, compelling the IMF to soften its stance and reduce the number of conditions attached to Greek loans, from forty-six in 2014 to just eight in 2015 when Syriza came to power.[7] These concessions underscore the challenges IFIs face when dealing with populist leaders who can credibly threaten disengagement.

IOs relent to populists because populist leaders present a unique challenge to IFIs. Their ideological opposition to IOs and their emphasis on sovereignty allow them to credibly threaten withdrawal or disengagement, raising the stakes for IFIs. To maintain member participation and avoid irrelevance, IFIs have strong incentives to appease populists by reducing the stringency of loan conditions.

Several factors drive this leniency. First, IFIs rely on loan-interest income to fund concessional programs, such as the World Bank's IDA loans. Maintaining a robust loan portfolio minimizes dependence on direct member contributions, which can themselves become threatened under populist regimes. Second, active lending preserves IFIs' relevance and legitimacy, demonstrating their ability to address members' needs. Powerful member states also benefit from IFI lending, as it allows them to exert